DE-6066 **11**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, MAY 2013.

MANAGEMENT CONCEPTS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the functions of management.

2. Explain the various steps in planning.

3. Point out the features of organization in modern management.

4. Explain the training methods.

5. Explain the requirements of effective direction.

6. Explain different control methods.

7. State the stages involved in the process of MBO.

8. Explain the process of communication.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the contributions of Henry Fayol to Management thought.

10. Narrate the important techniques of decision making.

11. Explain different types of organization.

12. Explain the performance appraisal methods.

13. Discuss the leadership styles.

14. Explain the essentials of effective control system.

15. Describe the Herzberg's two factor theory of motivation.

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DE–6067 **12**

DISTANCE EDUCATION

M.Com. (F and C) DEGREE EXAMINATION, MAY 2013.

FINANCIAL ACCOUNTING AND ANALYSIS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE of the following.

1. Explain the accounting conventions.

2. What is journal? State the rules and advantages of journalising.

3. Explain how does funds flow analysis help the management.

4. State the managerial uses of ratio analysis.

5. Explain the role of computer in business accounting.

6. The difference in Trial balance is kept in suspense account. Before preparing the final accounts, the following errors were detected.

   (a) Purchase for Rs. 540 was written in sales day book, but was posted to the correct side of party's account.

   (b) Salary account total Rs. 12,600 in one page, was carried over to the next page, as Rs. 1260, on the wrong side.

   (c) Interest on overdraft Rs. 650 was not posted to ledger from cash book.

(d) Rs. 600 collected from a party, in respect of the old dues from him, which were written off as bad debts two years ago, was credited to the party's account.

Show rectification entries and suspense account. State to what extend the profit and loss account would have been affected if the above errors would not have been detected and corrected and also the profit and loss account, before rectification.

7. From the following information of a textile company, prepare balance sheet.

Sales to Net worth 2.3 times, current debt to networth 42%, total debt to network 75%, current ratio 2.9 times, Net sales to inventry 4.7 times, average collection period 64 days, fixed assets to networth 53.2% sales Rs. 32,00,000.

8. From the following balance sheets you are required to prepare (a) Schedule of changes in working capital and (b) a funds flow statement.

Balance sheets as on 31 March.

Liabilities	1996 Rs	1997 Rs	Assets	1996 Rs	1997 Rs
Share capital	50,000	50,000	Cash	20,000	10,000
Profit and loss account	80,000	1,10,000	Marketable securities	10,000	-
12% debentures	-	30,000	Inventory	60,000	1,00,000
Sundry creditors	20,000	25,000	Sundry debtors	30,000	40,000
Bills payable	20,000	5,000	Fixed assets	1,00,000	1,40,000
Other current liabilities	10,000	15,000	Less accumulated depreciation	(40,000)	(55,000)
	1,80,000	2,35,000		1,80,000	2,35,000

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR of the following.

9. Discuss the different techniques of analysis and interpretation of financial statements.

10. Explain the different methods of accounting for price level changes.

11. Discuss the various approaches of human resource accounting.

12. Shri Ram is a small trader. He maintained no books but only an account with a bank in which all takings are lodged after meeting business expenses and his personal drawings and in which payments for business purchases are passed through. You are required to ascertain his trading results for the year ended March 31, 2008 and the financial positions of the business as on that date from the following information supplied by Shri Ram:

    (a) The book statement shows deposits of Rs. 12,030 and withdrawals of Rs. 11,850.

    (b) Rs. 1,000 had been placed in fixed deposit account on December 31 2008, at 8 percent per annum and withdrawn with interest on June 30, 2007.

    (c) The assets and liabilities on March 31, 2008 were: stock Rs. 2,100; book debts Rs. 1,150; bank balance Rs. 320; furniture Rs. 2,000; and trade creditors Rs. 400.

    (d) In the absence of reliable information, estimates are supplied on the following matters:

        (i) Stock and book debts have each increased by Rs. 100 during the year.

        (ii) The trade creditors were Rs. 200 on April 1, 2007.

(iii) During the year the personal expenses amounted to Rs. 1,000 and business expenses Rs. 1,700.

13. The following are the balances of ABEY Co. Ltd., as on 31st March 2006.

Debit	Rs	Credit	Rs
Buildings	30,72,000	Share capital	40,00,000
Plant	33,00,000	12% Debentures	30,00,000
Stock	7,50,000	Profit and Loss A/c	2,62,500
Debtors	8,70,000	Bills payable	3,70,000
Goodwill	2,50,000	Creditors	4,00,000
Cash and Bank	4,06,500	Sales	41,50,000
Calls in arrear	75,000	General reserve	2,50,000
Interim dividend paid	3,92,500	Bad debt provisions on 1.4.2005	35,000
Purchases	18,50,000		
Preliminary expenses	50,000		
Wages	9,79,800		
General expenses	68,350		
Salaries	2,02,250		
Bad debts	21,100		
Debenture interest paid	1,80,000		
	1,24,67,500		1,24,67,500

Other information

(a) Depreciate plant by 15%.

(b) Write off Rs. 5,000 from preliminary expenses.

(c) Half-years interest on debenture due.

(d) Create 5% provision on debtors for doubtful debts.

(e) Provide income tax 50%.

(f) Stock Rs. 9,50,000

(g) A claim of Rs. 25,000 for workman's compensation is being disputed by the company.

Prepare final accounts of the company.

14. From the following particulars, you are required to prepare the balance sheet of ROSE company:

		Rs.
(a)	Issued assets (after writing off 30%)	10,50,000
(b)	Fixed assets turnover (on cost of sales)	2
(c)	Finished good turnover ratio (on cost of sales)	6
(d)	Gross profit on sales	25%
(e)	Net profit (before interest) to sales	8%
(f)	Fixed charges cover (Debenture interest 7%)	8
(g)	Debt collection period	1.5 months
(h)	Materials consumed to sales	30%
(i)	Stock of raw materials (in terms of months consumption)	3
(j)	Current ratio	2.4
(k)	Quick ratio	1.0
(l)	Reserve to capital	0.21

15. Wearwell Ltd. supplies you the following balance sheets on 31st December.

Liabilities	2004	2005	Assets	2004	2005
Share capital	70,000	74,000	Bank	9,000	7,800
Debentures	12,000	6,000	Debtors	14,900	17,700
Creditors	10,360	11,840	Inventories	49,200	42,700
Provision for doubtful debts	700	800	Land	20,000	30,000
Reserves and surplus	10,040	10,560	Goodwill	10,000	5,000
	1,03,100	1,03,200		1,03.100	1,03,200

Other information

Dividend paid during year 2004 Rs. 3,500. Land was purchased for Rs. 10,000. Debentures paid during year Rs. 6,000. You are required to prepare cash flow statement.

DE–6068 **13**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, MAY 2013.

COST AND MANAGEMENT ACCOUNTING

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. State the pre requites in Installation of a costing system.

2. State the accounting treatment of idle time and overtime cost.

3. What do you meant by equivalent production? State the methods of calculating equivalent production of normal and abnormal loss.

4. What are the differences between cost accounting and management accounting?

5. Explain the various applications of the marginal costing.

6. What are the steps in Zero Based Budgeting?

7. Explain the Importance of responsibility accounting.

8. What is meant by standard costing? State its purpose.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. G Ltd. produces a product which has a monthly demand of 4,000 units. The product requires a component X which is purchased at Rs. 20. For every finished product, one unit of the component is required. The ordering cost is Rs. 120 per order and the holding cost is 10% p.a.

You are required to calculate :

(a) Economic order quantity,

(b) If the minimum lot size to be supplied is 4,000 units, what is the extra cost, the company has to incur?

(c) What would be the minimum carrying cost the company has to incur in case of (b)?

10. A factory consists of three production departments viz., Turning, Milling and Grinding. Though maintenance is done by the departments, the factory keeps four service departments too, viz., Stores, Planning, Canteen and Time Office. For the month of November 2011, the Direct Departmental Expenses were recorded as follows.

	Rs.
Turning	72,000
Milling	84,000
Grinding	1,08,000
Stores	36,000
Planning	60,000
Canteen	48,000
Time office	12,000

The expenses of Stores are to be distributed on a percentage basis, viz., 20%, 40%. 40% to Turning, Milling and Grinding respectively. The expenses of planning are to be apportioned on the basis of Machine Hours worked and those of Canteen and Time office according to number of men employed in Production Departments.

Men employed	No. of hours worked	
22	10,000	Turning
32	15,000	Milling
46	25,000	Grinding

Prepare a statement showing the distribution of the Service Department's Expenses to the Production Departments and also determine the final absorption rate.

11. The information given below has been taken from the records of an engineering works in respect of Job No. 756.

Materials : Rs. 4,010

Wages : Dept. A: 60 hours @ Rs. 3 per hour

Dept. B: 40 hours @ Rs. 2 per hour

Dept. C: 20 hours @ Rs. 5 per hour

The overhead expenses are as follows:

Variable : Dept. A: Rs. 5,000 for 5,000 labour hours

Dept. B: Rs. 3,000 for 1,500 labour hours

Dept. C: Rs. 2,000 for 500 labour hours

Fixed : Rs. 20,000 for 10,000 working hours

Calculate the cost of Job No. 756 and price of the job to give a profit of 25% on sales.

12. Describe the nature and scope of management accounting.

13. Kannan & Co. has given the following particulars. You are required to prepare a cash budget for the three months ending 31st December, 2012 :

(a)

Months	Sales Rs.	Materials Rs.	Wages Rs.	Overheads Rs.
August	20,000	10,200	3,800	1,900
September	21,000	10,000	3,800	2,100
October	23,000	9,800	4,000	2,300
November	25,000	10,000	4,200	2,400
December	30,000	10,800	4,500	2,500

(b) Credit terms are: Debtors: 50% of the credit sales are collected next month and the balance in the following month.
Creditors : Materials 2 months
Wages 1 month
Overheads 1/2 month.

(c) Cash balance on 1st October 2012 is expected to be Rs. 8,000.

(d) Advance to be received from sale of vehicle Rs. 20,000 in December.

(e) Income tax (advance) to be paid in December Rs. 5000.

14. The information regarding the composition and hourly wage rates of labour force engaged on a job scheduled to be completed in 30 hours are as follows:

	Standard		Actual	
Category of workers	No. of workers	Hourly wage rate per worker	No. of workers	Hourly wage rate per worker
		Rs.		Rs.
Skilled	75	6	70	7
Semi skilled	45	4	30	5
Un-skilled	60	30	80	2

The work was completed in 32 hours. Calculate labour variances.

15. There are two similar factories under the same management. The management desires to merge these two plants. The following particulars are available.

	Factory I	Factory II
Capacity operation	100%	60%
Sales	Rs. 300 Lakh	Rs. 120 Lakh
Variable costs	Rs. 220 Lakh	Rs. 90 Lakh
Fixed costs	Rs. 40 Lakh	Rs. 20 Lakh

(a) What would be the capacity of the merged plant to be operated for the purpose of break-even?

(b) What would be the profitability on working at 75% of the merged capacity?

DE–6069 **14**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, MAY 2013.

QUANTITATIVE TECHNIQUES

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. State the methods of graphical representation of statistical data.

2. State the Empirical relationship between the averages.

3. The following table shows that length of life (in hours) of 400 T.V picture tubes:

Length of Life (in hrs.)	No. of Picture Tubes
4000-4200	22
4200-4400	38
4400-4600	65
4600-4800	75
4800-5000	80
5000-5200	70
5200-5400	50

Compute arithmetic mean and mode.

4. Calculate Pearson's coefficient of skewness the following data :

Variable	Frequency	Variable	Frequency
0-10	12	40-50	22
10-20	16	50-60	15
20-30	26	60-70	7
30-40	38	70-80	4

5. If the probability that a University Lecturer's job applicant has a Ph. D degree is 0.04; that he has teaching experience is 0.05; and that he has both is 0.02. Our of the 100 applicants, approximately what number would have either a PhD degree or teaching experience?

6. Explain Type I errors and Type II error associated with testing of hypothesis.

7. Calculate the coefficient of rank correlation from the following data by the method of rank difference

X :	75	88	95	70	60	80	81	50
Y :	120	134	150	115	110	140	142	100

8. What are the criteria in decision making under uncertainty?

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss the various methods of collecting primary data.

10. The profits earned by 100 companies during 1989-90 are shown below :

Profits (Rs. Crores)	No. of Companies	Profits (Rs. Crores)	No. of Companies
20-30	4	60-70	15
30-40	8	70-80	10
40-50	18	80-90	8
50-60	30	90-100	7

Compute :

(a) Mean earning

(b) Median

(c) Standard Deviation.

11. Explain the properties of Normal distribution.

12. One-fifth percent of the blades produced by a blade manufacturing factory turn out to be defective. The blades are supplied in packets of 10. Use Poisson distribution to calculate the approximate number of packets containing no defective, one defective and two defective blades respectively in a consignment of 100,000 packets. (Give $e^{0.02} = 0.9802$).

13. The average daily wage of construction workers during last year (2011) was Rs. 24. During this year, the average daily wage for a random sample of 100 workers is found to be Rs. 25 with a standard deviation of Rs. 3. Test whether there is significant improvement in wage over the average wage of the previous year.

14. From the following data obtain the two regression equations :

X:	6	2	10	4	8
Y:	9	11	5	8	7

15. Discuss linear programming as a technique of resource allocation.

DE–6070 **15**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, MAY 2013.

BUSINESS LAW

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the different types of contract.

2. Explain the legal position of a minor as regards his agreements.

3. Point out the features of contract indemnity

4. What are the duties of unpaid sellers?

5. What are the difference between a bill of exchange and cheques?

6. Explain the settlements.

7. What are the duties of common carrier?

8. What are the types of offer?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss the essentials of a valid contract.

10. What are the duties and liabilities of an agent?

11. Explain the implied conditions in a contract of scale.

12. What is endorsement? What are the different types of endorsement?

13. Explain the types of insurance policies.

14. Explain the provisions relating to carriage of goods by land.

15. What are the modes of discharge of contract?

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DE–6071 **21**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, MAY 2013.

FINANCIAL MANAGEMENT AND CONTROL

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Describe the scope of financial management.

2. Describe long term capital resources.

3. Briefly explain the classifications of working capital.

4. What is capital structure planning?

5. Briefly explain the importance of management of current assets.

6. Describe the various categories of business finance.

7. Describe the essentials of budgetary control.

8. Differentiate between hypothecation and pledge.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. "Investment , financing and dividned decisions are all inter-related". Comment.

10. What are the alternatives available for making the provision for redeeming debentures? It is necessary to make such provision?

11. Prepare an estimate of working capital as at the end of 31st March, 2003 from the following details supplied by Deveswar Ltd.

Budgeted sales for the year	Rs. 12,00,000
Ratio between cash and credit sales	1.5
Debtors turnover ration	73 days
Creditors turnover ratio	30 days
Estimated gross profit	30% of sales
Proprietary ratio to fixed assets	0.80
Operating Ratio	90%
Direct expenses ratio	75%
Stock turnover ratio	5 times
Lag in payment of expenses (except wages)	36.5 days
Liquid ratio	2.5:1
Net profit to proprietary fund ratio	
Closing stock will be Rs. 20,000 more than the opening stock	10%

12. Explain the following

(a) Inventory Management techniques

(b) Stock out cost determination techniques.

13. Discuss the assumptions and limitations of dividend irrelevance under M.M. theory.

14. Discuss the effects of high and low gearing on the financial position of a company during various phases of trade cycle.

15. Discuss the various approaches to determine an appropriate financing mix of working capital.

DE–6072 **22**

DISTANCE EDUCATION

M.Com. (F&C) DEGREE EXAMINATION, MAY 2013

INVESTMENT ANALYSIS AND PORTFOLIO MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the differences between investment and speculation?

2. What are the objectives of investment?

3. What are the various types of risks?

4. What is the relationship between the P/E ratio and risk?

5. Explain the "Breadth of market analysis".

6. What are the assumptions of CAPM model?

7. Write note on efficient frontier?

8. What is a formula plan. State its advantages and disadvantages.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Describe the various steps involved in the investment process.

10. Describe the various methods of valuation of Bonds.

11. Discuss the various economic factors considered by the fundamental analysis.

12. Explain various phases in the Industrial Life Cycle.

13. Define Markowitz diversification. Explain the statistical method used by Markowitz to obtain the risk reducing benefit.

14. Explain the Weak Form of Efficient Market Hypothesis and state the empirical test of this market.

15. Distinguish between Treynor and sharpe indices of portfolio performance. Which do you recommend? Why?

DE–6073 **23**

DISTANCE EDUCATION

M.Com. (F&C) DEGREE EXAMINATION, MAY 2013.

FINANCIAL SERVICES AND INSTITUTIONS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE of the following.

All questions carry equal marks.

1. What are the procedures involved in the pre-public issue?

2. Define NAV. How are mutual fund units priced?

3. Explain working mechanism of an AMC.

4. Are Secured debentures treated as Public Deposit? If not who regulates them?

5. What are the limitations of credit rating?

6. IFCI is facing a survival dilemma. Why?

7. Briefly explain the role of IDBI in Indian financial market.

8. How does book building works at NSE?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR of the following.

All questions carry equal marks.

9. Explain the responsibilities of lead managers.

10. How are the Mutual Funds regulated by SEBI?

11. What are rating symbols? Give a brief account of the rating symbols of two leading credit rating agencies in India.

12. Briefly explain the factors that has contributed to the growth of credit rating worldwide.

13. What is universal banking? How has ICICI transformed into a universal bank?

14. Bring out the inter relationship between Government security market and Monitory policy.

15. How does SEBI protect the Investment of investors? Explain.

DE–6074 **24**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, MAY 2013.

GLOBAL FINANCIAL MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE of the following.

All questions carry equal marks.

1. What are the purposes for which IMF and World Bank were established?

2. What are the various risks involved in ADR?

3. What are the factors responsible for the recent surge in international portfolio investment?

4. What is the nature of the discount rate that is used of the cash flow in the APV approach?

5. Why do countries devalue their currencies?

6. Write a short note on the following :
   (a) Leading
   (b) Lagging
   (c) Netting.

7. What do you understand by poisoning and unbundling of funds? How can blocked funds be involved out of the country?

8. Examine the functions and role of IDA. Why it is called 'soft loan window'?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR of the following.

All questions carry equal marks.

9. What is the current role of IMF? How has its role changed since Brettonwoods and why?

10. Explain the concept of investing via deposit receipt scheme, say ADRs and GDRs to achieve international diversification.

11. What are the three methods for incorporating political risks in the capital budgeting decision?

12. Can avoiding politically risky countries eliminate a company's political risk? Explain.

13. What are the advantages of centralized cash management? How can pooling provide benefits for international cash management?

14. Interest rate parity and leading-lagging are related to forward contracts. Discuss.

15. Critically review the emergence and popularity of financial swaps.

DE–6075 **25**

DISTANCE EDUCATION

M.Com. (F & C) DEGREE EXAMINATION, MAY 2013.

TAXATION AND TAX PLANNING

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the objectives of tax planning? Differentiate it from tax evasion.

2. Explain the tax planning considerations relating to income from other sources.

3. How will you classify capital gains? How are they taxed under the Income Tax Act?

4. Explain the perquisites taxable in respect of all assesses.

5. State the deductions permissible under

   (a) Sec 80 D

   (b) Sec 80 DD

   (c) Sec 80 E.

6. Explain the provisions of Income Tax Act regarding taxation of firms.

7. Mrs. John draws a monthly salary of Rs. 22,000 and DA Rs. 9,300, Project allowance Rs. 750 p.m., Medical allowance Rs. 275 p.m. DA enters into service benefits. conveyance allowance Rs. 400 p.m. out of which he

spends Rs. 325 p.m. His employer contributes 13% of his salary towards RPF. He paid Rs. 700 towards professional tax. He obtained a special allowance of Rs. 250 p.m. besides entertainment allowance of Rs. 4,500. Calculate his gross total income for the Assessment Year 2012-13.

8. Explain any six incomes exempt from Income Tax Act.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the features of different types of companies under the Income Tax Act.

10. Analyse the provisions regarding setoff of losses when a person has income from different heads.

11. Explain the tax considerations that are relevant in tax planning in respect of salary income.

12. Explain the scope and areas of tax planning. Differentiate tax planning from tax avoidance.

13. From the following details find out the amount of remuneration which can be debited to P/L a/c of the firm and how much income of partners shall be chargeable to tax under the head profits and gains :

Book profit Rs. 40,000 (after debiting the following) Following payments were made for the A. Y. 2012-13.

	Rs.
Salary to *X* (working partner)	84,000
Salary to *Y* (non-working partner)	20,000
Commission to *Z* (working partner)	60,000

Interest of capital to partners @ 20%

To *X* 12,000; To *Y* 9,000; To *Z* Rs. 6,000.

14. A domestic company submits the following particulars of its income of the premium year ending 31.3.2012. Compute the total income of the company.

	Rs.
(a) Profits of business after deduction of donation to approved charitable institutions	1,90,000
(b) Donation of charitable institution	30,000
(c) Interest on Govt securities	10,000
(d) Dividends from a domestic co. (gross)	60,000
(e) LTCG	50,000
(f) Book profits u/s 115 JB	8,00,000

The company distributed a dividend of Rs. 1,00,000 on 6.9.2011.

15. Discuss the tax planning considerations pertaining to long term capital gains enjoyed by an assessee individual.